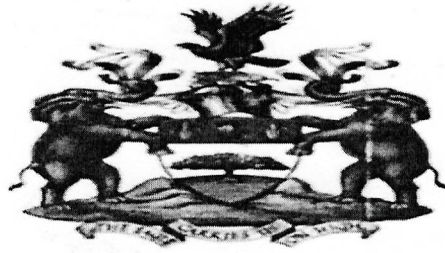


KABWE MUNICIPAL COUNCIL



KABWE MUNICIPAL COUNCIL

BI-ANNUAL FINANCIAL STATEMENTS FOR THE YEAR 2025



P O Box 80424

Civic Centre

KABWE

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the Bi-financial statements for the year 2025 which disclose the sources, utilization and balances of cash for Kabwe Municipal Council during the period under review.

Background and Location of the Council

Kabwe is the Provincial Capital of the Central Province of Zambia located 139 km north of Lusaka and 55km from Kapiri-Mposhi. It is the smallest District in the province sharing boundaries with Chisamba, Chibombo and Kapiri-Mposhi Districts. It is located in vicinity of latitude 14 27' South and longitude 28 27' East. The district boundary is approximately 4,018 hectares (4,018 Km²).

The Census of Population undertaken by the Zambia Statistics Agency in 2022 revealed that the population of Kabwe District stands at 303,149, comprising 147,129 males and 156,020 females with a 3.5% population growth rate. It has an estimated 28,397 households emanating from the 27 wards of the district.

The name Kabwe derives from the traditional phrases of “AkabwekaMukuba” meaning the stone of ore or place of smelting. The existence of Kabwe is attributed to the discovery of zinc and lead in 1902 by a mining engineer T.G. Davey. The town was then established as the Broken Hill Town borrowing from the Australian Broken Hill Mining Town. In 1921, a skull of the primeval man dating back to 50,000 BC was unearthed during the early excavations, which attracted archaeological interest. The skull was later taken to Europe and is known to be under the custody of the British Government in the British Museum. It is worth noting that efforts are currently being made to bring this historic piece to Zambia by the government.

The address of the registered office of Kabwe Municipal Council (KMC) is as follows:

The Civic Centre

P O Box 80424

Freedom way

Kabwe

REPORT OF THE COUNCIL

Composition of the Council

Kabwe Municipal Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Municipal Council administers the Kabwe District.

The Council is composed of an elected Mayor and Twenty-Nine (29) elected Councillors. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Mayor was elected from among the Councillors in 2023 for the period of two and half years.

The Councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Patrick B. Chishala	Male	Mayor	Not applicable
2	Kayombo Mihova	Male	Deputy Mayor	Muwowo West
3	Cephas M. Mutale	Male	Councillor	Moomba
4	Wesley Phiri	Male	Councillor	Waya
5	Austin Kunda	Male	Councillor	Luansase
6	Alfred M. Mpangayonse	Male	Councillor	Kangomba
7	Moses Mumba	Male	Councillor	Muwowo West
8	Francila Mwape	Male	Councillor	Ben Kapufi
9	Watson Joseph Mwale	Male	Councillor	Chimanimani
10	Samson Muhone	Male	Councillor	Ngungu
11	Jupiter Hamiyanda	Male	Councillor	Munga
12	Moses C. Mulenga	Male	Councillor	Zambezi
13	reuben Phiri	Male	Councillor	Makululu
14	Eric Musabila	Male	Councillor	Njanji
15	Loius Tembo	Male	Councillor	Munyama
16	Lester Ngambi	Male	Councillor	Chirwa
17	Evans Mwata	Male	Councillor	Highridge
18	Geoffrey Mumba	Male	Councillor	Kaputula
19	Davy Chipande	Male	Councillor	Justine Kabwe
20	Euclid Munkonze	Male	Councillor	Mpima
21	Belemu Sibanze	Male	Councillor	Lukanga
22	Emmanuel Chileshe	Male	Councillor	Luangwa
23	Haambo Mudaala	Male	Councillor	Kalonga
24	Gabrel C. Bwalya	Male	Councillor	Chinyanja
25	Peter Chanda	Male	Councillor	Luangwa
26	Tembo Loius	Male	Councillor	Bwacha
27	Muntemba Yvonne	Female	Councillor	David Ramushi
28	Chileshe Charles	Male	Councillor	Katondo
29	Mumba Moses	Male	Councillor	Muwowo East

REPORT OF THE COUNCIL

The District also has two (2) elected Members of Parliament one for Kabwe Central Constituency and the other for Bwacha Constituency. The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Chrizoster Phiri	Female	Kabwe Central
2	Hon. Sydney Mushanga	Male	Bwacha

The District Commissioner coordinates the affairs of Central Government in the district. During the year under review, Mr. Lennox Shimwambwa was the District Commissioner for Kabwe District.

The Council Secretariat

The Secretariat of Kabwe Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by Twelve (12) Directors responsible for Finance, Legal, Planning, Engineering, Public Health, Human Resource and Administration, Housing and Social Services, Agriculture, Arts and Culture, Community Development, District Health Services and Fisheries and Livestock and heads of three (3) units namely Procurement, Public Relations and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No. 2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2025 Kwacha	2024 Kwacha
Cash Receipts	71,746,982	-
Payments	92,307,241	-
Increase/ (decrease) in Cash and Cash Equivalents	(20,560,259)	0

Key Policies Adopted During the Year

No new policy was adopted by the Council during the year:

Related Party Transactions

There were no related party transactions during the financial year.

REPORT OF THE COUNCIL

Property, Plant and Equipment

The Council acquired property, plant and equipment amount to **K 10,453,133.25 including** CDF projects during the year. The council did not receive any equipment from the Government.

No property, plant and equipment were disposed off during the period under review.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The Council had **482** employees at the beginning of the year and had **490** employees at end of the year. The total amount spent on employees' remuneration and Staff welfare during the half year was K 23,866,763.18

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No. 36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K10,453,133.25 towards sponsoring various sporting activities.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

STATEMENT OF RESPONSIBILITIES FOR BI-ANNUAL FINANCIAL STATEMENTS

The Kabwe Municipal Council is responsible for preparing the bi-financial statements for the year 2025 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements, and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Kabwe Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Municipal Council for the bi-financial year 2025

Signed on behalf of the Council on..... by;

Name: Abraham Chagwe

Name: Martin Kaponda

Signature: [Signature]

Signature: [Signature]

Position: Town Clerk

Position: Director of Finance

INDEPENDENT AUDITOR's REPORT

INDEPENDENT AUDITOR's REPORT

INDEPENDENT AUDITOR's REPORT

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE BI-ANNUAL YEAR
2025

	Note	2025 Kwacha	202 Kwach
RECEIPTS			
Local taxes	2	6,663,177	-
Fees and Charges	3	12,062,057	-
Licences	4	347,920	-
Levies	5	1,209,808	-
Permits	6	2,726,912	-
Local Government Equalisation Fu	7	8,602,496	-
Constituency Development Fund	8	12,410,256	-
Other Grants	9	9,918,247	-
Borrowings	10	-	-
Commercial Venture	11	5,305	-
Sector Grant (Devolved Function)	12	15,260,201	-
Other Receipts	13	2,540,602	-
TOTAL RECEIPTS		71,746,982	-
PAYMENTS			
Personnel Emoluments	14	23,866,763	-
Use of goods and services	15	13,794,353	-
Financial Charges	16	-	-
Social benefits	17	26,867,880	-
Non-financial assets acquisition	18	25,516,831	-
Financial Assets	19	-	-
Loan Repayments	20	-	-
Other payments	21	2,261,414	-
TOTAL PAYMENTS		92,307,241	-
Increase/(decrease) in Cash		(20,560,259)	-
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	31,886,708	-
Cash at the end of the year	23	11,326,449	-

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: *Neghema Chagwe*
Signature: *[Signature]*
Position: Town Clerk

Name: *Martin Kipondela*
Signature: *[Signature]*
Position: Director of Finance

KABWE MUNICIPAL COUNCIL
BI-ANNUAL FINANCIAL STATEMENTS FOR THE YEAR 2025

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE BI-ANNUAL YEAR 2025

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	6,824,177	0	6,824,177	6,663,177	98	160,999	2
Fees and Charges	11,187,033		11,187,033	12,062,057	108 -	875,024 -	8
Licences	541,000	-	541,000	347,920	64	193,080	36
Levies	860,450	-	860,450	1,209,808	141	(349,358) -	41
Permits	2,918,750	-	2,918,750	2,726,912	93	191,838	7
Local Government Equalisation Fund	11,928,691	-	11,928,691	8,602,496	72	3,326,194	28
Constituency Development Fund	36,058,151	-	36,058,151	12,410,256	34	23,647,894	66
Other Grants	14,373,454	-	14,373,454	9,918,247	69	4,455,207	31
Borrowings		-	-	-		-	-
Commercial Venture		-	-	5,305		(5,305)	-
Sector Grant (Devolved Function)	4,398,633			15,260,201			
Other Receipts	1,449,439	-	1,449,439	2,540,602	-	(1,091,163)	-
TOTAL RECEIPTS	90,539,776	0	86,141,143	71,746,982	83	29,654,361	34
PAYMENTS							
Personnel Emoluments	24,350,846	-	24,350,846	23,866,763	98	484,083	2
Use of goods and services	16,906,768	-	16,906,768	13,794,353	82	3,112,415	18
Financial Charges	-	-	-	-	-	-	-
Social benefits	17,422,970	-	17,422,970	26,867,880	154	(9,444,911) -	54
Non-financial assets acquisition	26,094,257	-	26,094,257	25,516,831	98	577,426	2
Financial Assets	3,736,936	-	3,736,936	-	-	3,736,936	100
Loan Repayments	-	-	-	-	-	-	-
Other payments	2,028,000	-	2,028,000	2,261,414	112 -	233,414 -	12
TOTAL PAYMENTS	90,539,776	0	90,539,776	92,307,241	102	(1,767,466) -	2
Increase/(Decrease in Cash	-	-	-	(20,560,259)			

The composition of budget adjustments and explanations of major variances are provided in note 23

Name: Isabana Chonwe
Signature: [Signature]
Position: Town Clerk

Name: Xantini Mpondela
Signature: [Signature]
Position: Director of Finance

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL
GOVERNMENT EQUALISATION FUND (LGEF) FOR BI-ANNUAL YEAR 2025**

	Note	2025 Kwacha	2024 Kwacha
Funding	7(a)	8,602,496	21,658,962
Interest Earned		-	-
TOTAL RECEIPTS		8,602,496	21,658,962
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		8,602,496	21,658,962
Terminal Benefits			
Utility bills			
Service Provision			
Goods and Services			
Administrative Costs			
Other Costs			
Sub- Total		8,602,496	21,658,962
Capital Expenditure Payments	7(c)		
Infrastructure Development		-	2,494,455
Rehabilitation Works		-	-
Asset Acquisition		-	-
Other cost		-	-
Sub- Total		-	2,494,455
TOTAL PAYMENTS		8,602,496	24,153,416
Increase/(decrease) in cash		-	(2,494,455)
Cash at beginning of the year		-	2,494,455
Cash at the end of the year		-	-

Name: *Asakama Chagwe*

Signature..... *[Signature]*

Position: Town Clerk

Name: *Martin Mpondela*

Signature..... *[Signature]*

Position: Director of Finance

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR BI-ANNUAL YEAR 2025**

		2025	2024
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	12,410,256	-
Loan Repayments	8(b)	657,063	-
Other sources	8(c)	27,398	-
TOTAL RECEIPTS		13,094,717	-
PAYMENTS			
Infrastructure	8(d)	6,353,102	-
Rehabilitation Works	8(e)	557,547	-
Asset Acquisition	8(f)	10,453,133	-
Rural Electrification	8(g)	-	-
Social Benefits	8(h)	4,496,650	-
Loan	8(i)	-	-
Sec,Sch & Skills Bursaries	8(j)	8,598,910	-
Administrative Costs	8(k)	1,996,272	-
Disaster Contingency	8(l)	295,251	-
Other payments		1,711,204	-
TOTAL PAYMENTS		34,462,069	-
Increase/(decrease) in Cash		(21,367,352)	-
Cash at beginning of the year		24,991,646	-
Cash at the end of the year		3,624,293.98	-

Note 8. explains the composition and other details relating to the various elements included in this Statement.

Name: *Asakama Chanywe*
Signature..... *[Signature]*
Position: Town Clerk

Name: *Martin Mpandela*
Signature..... *[Signature]*
Position: Director of Finance

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE SECTOR GRANT
(DEVOLVED FUNCTION) FOR BI-ANNUAL YEAR 2025**

	Note	2025	2024
		KWACHA	KWACHA
RECEIPTS			
Funding	12(a)	2,976,403	-
Other Receipts	12(b)	12,307,749	-
TOTAL RECEIPTS		15,260,201	-
PAYMENTS			
Goods and Services		6,342,863	-
Non-financial Asset acquisition		527,000	-
Infrastructure development		90,000	-
Rehabilitation works		-	-
TOTAL PAYMENTS		6,959,863	-
Increase/(decrease) in Cash		8,300,338	-
Foreign Exchange Losses		-	-
Cash at beginning of the year		3,026,111	-
Cash as at the end of the year		11,326,449	-

Name:

Signature.....

Position: Town Clerk

Name:

Signature.....

Position: Director of Finance

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR ZDSP CAPITAL GRANT
FOR YEAR ENDED 31ST DECEMBER 2023

	Note	2025	2024
		KWACHA	KWACHA
RECEIPTS			
Funding	9(b)	-	-
Other Receipts		-	-
TOTAL RECEIPTS		-	-
PAYMENTS			
Goods and Services		-	-
Non-financial Asset acquisition		-	-
Infrastructure development		-	-
Rehabilitation works		-	-
TOTAL PAYMENTS		-	-
Increase/(decrease) in Cash		-	-
Foreign Exchange Losses		-	-
Cash at beginning of the year		-	-
Cash as at the end of the year		-	-

Name: *Asakapa Chagwe*
 Signature..... *[Signature]*
 Position: Town Clerk

Name: *Martin Mpandela*
 Signature..... *[Signature]*
 Position: Director of Finance

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs). These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Comparative

In line with the Local Authorities Accounting Policies (LAAPs) and the Treasury and Financial Management Circular No of 2019 issued prior but applicable to finalisation of these financial statements, the starting point for preparation of financial statements using Cash Basis IPSAS Financial Reporting under the Cash Basis of Accounting is 2018. The IPSAS allows that in the year of first application, comparative financial statements for the previous year may not be included. In this regard, these financial statements do not include such.

1.2 Reporting Entity

The Financial Statements are prepared for Kabwe Municipal Council (KMC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on by the ordinary/special Council.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Kabwe Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the district;

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- leviable persons carrying on a business, trade or occupation within the area of the district; or
- the purchase or sale of a commodity within the area of the district.

b. Fees and Charges

Section 27 (1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any licence or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.11 Sector Grants

These includes grants from Devolved functions of the Central Government to the Sub National Level among them; Primary care services (Ministry of Health), Pontoons, Ferries, Jetties and Piers, Harbours, Community sport, Vehicle Licensing (Ministry of Transport & Logistics), Cultural matters (Ministry of Tourism) District Archives (Ministry of Home Affairs), Veterinary Services (Ministry of Fisheries and Livestock

1.12 Presentation Currency

The presentation currency is Zambian Kwacha.

1.13 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.14 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.15 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2025	2024
	Kwacha	Kwacha
Residential Rates	1,948,368	-
Industrial / Commercial Rates	4,492,657	-
Personal Levy	222,153	-
	-	-
TOTAL	6,663,177	-

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2025	2024
	Kwacha	Kwacha
Fees and charges	5,156,007	-
Land Developmental Charges	6,906,050	-
Total	12,062,057	-

NOTES TO THE FINANCIAL STATEMENTS

a) Fees and Charges

	2025	2024
	Kwacha	Kwacha
Consent Fees	6,000	-
Survey Fees	8,000	-
Building Inspection fees	249,300	-
Plan Scrutiny Fees	553,935	-
Change of premise use	59,162	-
Container/ Ntemba fees	16,084	-
Rentals/Lease of Council's properties	688,925	-
Application Form Fees	501,500	-
Search Fees	2,150	-
Notice board adverts	-	-
Market Fees	247,111	-
Parking Fees	89,016	-
Bus Station Fees	262,033	-
Affidavit Fees	11,770	-
Hire of hall	6,000	-
Hire of stadia	1,900	-
Body Transfer/Inspection settlement	1,120	-
Boundary location	1,800	-
Refuse Disposal Fees	349,850	-
Library fees	1,000	-
Notice of Marriage	24,500	-
Abattoir/Meat Inspection Fees	100	-
Registration of Clubs and Societies	17,150	-
Farm produces	24,146	-
Communication Mast Levy	344,437	-
Illegal Parking Fees	51,900	-
Sale of parks	-	-
Billboard and Banner	123,030	-
Lease of Council Transport	200	-
Penalties	484,813	-
Ablution Fees	559,244	-
Extracts of Minutes	75,000	-
Recommendation fees	1,200	-
Medical fees	99,600	-
Change of ownership of plot	234,750	-
Land Record	-	-
Other Fees and Charges	59,280	-
TOTAL	5,156,007	-

NOTES TO THE FINANCIAL STATEMENTS

b) Land Development Charges

The Council collected the following land development related charges:

Charges Type	2025	2024
	Kwacha	Kwacha
Service charges - residential plots	-	-
Service charges - Industrial plots	-	-
Premium plots - Residential	5,350,800	-
Premium plots - Commercial	1,365,500	-
Lease charges	-	-
Other	189,750	-
TOTAL	6,906,050	-

4. Licences

A total of K814,916 cash receipts was raised from issuance of various licences.

Licence Type	2025	2024
	Kwacha	Kwacha
Liquor licence	221,180	-
Firearm and ammunition	15,000	-
Dog licence	6,200	-
Petroleum	48,370	-
Occupancy	39,620	-
Other licence	17,550	-
Total	347,920	-

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2025	2024
	Kwacha	Kwacha
Bird Levy	54,080	-
Businesses levy	807,848	-
Livestock Levy	-	-
Sand Levy	-	-
Pole Levy	3,442	-
Charcoal Levy	-	-
Telecommunication mast	344,437	-
Other levies	-	-
TOTAL	1,209,808	-

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2025	2024
	Kwacha	Kwacha
Health Permit	1,136,180	-
Burial Permits and Grave sites	150,875	-
Fire certificate	1,418,357	-
Extension of business hours permits	1,250	-
Public permits (social gatherings, etc)	2,750	-
Other Permits	17,500	-
TOTAL	2,726,912	-

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a. Funding

	2025	2024
	Kwacha	Kwacha
1st Funding	1,843,986	-
2nd Funding	1,764,901	-
3rd Funding	1,832,551	-
4th Funding	1,730,867	-
5th Funding	1,430,192	-
6th Funding	-	-
7th Funding	-	-
8th Funding	-	-
9th Funding	-	-
10th Funding	-	-
11th Funding	-	-
12th Funding	-	-
	8,602,496	-

b. Operational Expenditure

The Council applied 100% of amounts of LGEF receipts towards meeting personal emoluments in the period under review an amount totalling K8,602,496 and was used towards payments of salaries and wages.

c. Capital Expenditure

The Council applied an amount totalling K6,146,594 as capital expenditure at Lukanga Bus Station.

NOTES TO THE FINANCIAL STATEMENTS

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

a. CDF Funding

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	6,205,128	-
Bwacha	6,205,128	-
Total Funding	12,410,256	-

b. Loan Repayments

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	179,669	-
Bwacha	477,394	-
Total Loan Repayments	657,063	-

Loan repayments comprised of loan repayments by CDF loan beneficiaries under community, women and youth empowerment.

c. Interest Earned

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	21,067	-
Bwacha	6,331	-
Total Interest Earned	27,398	-

Interest above comprised of interest earned on the amounts held in CDF loan revolving bank accounts.

NOTES TO THE FINANCIAL STATEMENTS

d. Infrastructure Development

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	3,703,681	-
Bwacha	2,649,421	-
Total Infrastructure development payments	6,353,102	-

e. Rehabilitation Works

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Cental	557,547	-
Bwacha	-	-
Total Rehabilitation payments	557,547	-

f. Asset Acquisition

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	5,244,633	-
Bwacha	5,208,500	-
Total Asset Acquisition Payments	10,453,133	-

g. Rural Electrification

During the under review the council did not incur any costs on rural electrification.

h. Social Benefits - Grants

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	2,320,000	-
Bwacha	2,176,650	-
Total Social Benefits - Grants	4,496,650	-

NOTES TO THE FINANCIAL STATEMENTS

i. Loans

During the under review the council did not incur any costs on loans

j. Skills and boarding School Bursaries

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	4,306,021	-
Bwacha	4,292,889	-
Total Skills and boarding School Bursaries	8,598,910	-

k. Administrative Cost

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	928,316	-
Bwacha	1,067,956	-
Total Administrative Cost	1,996,272	-

l. Disaster Contingency

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	60,038	-
Bwacha	235,214	-
Total Disaster Contingency	295,251	-

j. Other Payments (Fuel for roads)

	2025	2024
Constituency	Kwacha	Kwacha
Kabwe Central	855,602	-
Bwacha	855,602	-
Total j. Other Payments (Fuel for roads)	1,711,204	-

NOTES TO THE FINANCIAL STATEMENTS

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2025	2024
	Kwacha	Kwacha
Grants in Lieu of Rates	1,000,000.00	-
Special grant -LUKANGA	7,918,247.00	-
Fire training school	1,000,000.00	-
	-	-
TOTAL	9,918,247	-

10. Borrowings

During the year Council did not receive any cash as loan from any bank.

11. Council Commercial Venture

This consists of a loss of K5, 305 that was made by from operations of Clayton Park a commercial venture owned by the Council.

	2025	2024
	Kwacha	Kwacha
RECEIPTS		
Lodging Receipts		
Food and Beverages Sales receipts	508,692	-
Others		-
TOTAL	508,692	-
PAYMENTS		
Cost of Sales	477,917	-
Wages		-
Office Cost	-	-
Office Equipment		-
Plant and Machinery		-
General Supplies	6,000	-
Bank Charges	1,470	
Electricity	18,000	
Subscription		-
TOTAL	503,387	-
		0
SURPLUS	5,305	-

NOTES TO THE FINANCIAL STATEMENTS

12. (a) Sector Grant (Devolved Functions)

The Council received Grants totaling K2,952,452 in its bank account from the Treasury for the Devolved Functions of the Central Government and K12,283,798 for Cash for Work.

Revenue Source	2025	2024
	Kwacha	Kwacha
Sector Grant - Transport sector	1,000,000.00	-
Sector Grant - Health	1,292,039.30	-
Sector Grant - Agriculture	328,320.55	-
Sector Grant - Archieves	6,413.80	-
Sector Grant - Livestock and Fisheries	202,566.73	-
Sector Grant - Sports	118,534.46	-
Sector grant - Culture	4,577.56	-
TOTAL	2,952,452	-

(b) Other Receipts

Revenue Source	2025	2024
	Kwacha	Kwacha
Cash for work	12,283,798	-
Livestock and Fisheries	23,951	-
TOTAL	12,307,749	-

13. Other Receipts

	2025	2024
	Kwacha	Kwacha
Fire Training Course fees	1,798,156	-
AIDS Funds	-	-
ECZ Funds	-	-
Interest Received	85,383	-
Loan Repayments	657,063	-
Donations	-	-
	2,540,602	-

14. Personnel Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

DIVISION	2024 Kwacha	2024 Kwacha
Management		
Salaries Division 1	5,423,468	-
Salaries Division 2	4,502,421	-
Salaries Division 3	5,325,143	-
Salaries-Part Time	-	-
Wages- Division 4	7,567,195	-
Other allowances(settling in)	13,725	-
Statutory Obligations(LASF&NAPSA)	-	-
Councillors monthly allowance	1,034,811	-
TOTAL	23,866,763	0

NOTES TO THE FINANCIAL STATEMENTS

15. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2024	2024
	Kwacha	Kwacha
Office Running Costs	475,827	-
Building, Repair and Maintenance Costs	514,427	-
Plant, Machinery and Vehicle Running and Maintenance Cost	1,277,672	-
Other Administrative operating costs	1,445,745	-
Requisites	771,119	-
Services	7,616,034	-
Travel expenses	1,458,330	-
Training	235,200	-
Registration to proffessional bodies	-	-
Legal costs	-	-
TOTAL	13,794,353	-

16. Financial Charges

During the year under review the council did not incur costs for financial charges.

17. Social Benefits

	2025	2024
	Kwacha	Kwacha
Community , Women and Youth Epowerment - Grants	4,496,650	-
Secondary boarding and skills development Bursuries	8,598,910	-
Cash for work	13,772,320	-
TOTAL	26,867,880	-

NOTES TO THE FINANCIAL STATEMENTS

18. Non-financial Asset Acquisition

Acquisition and payment for assets involved the following payments:

	2024 Kwacha	2024 Kwacha
Construction of infrastrure	6,146,594	-
Purchase of computer equipments	-	-
Purchase of Motor Vehicle	-	-
Purchase of Office Furniture	-	-
CDF -Infrastructure Development	6,353,102	-
CDF -Rehabilitations Works	557,547	-
CDF- Asset Acquisition	10,453,133	-
CDF -Rehabilitations Works: Disaster	295,251	-
CDF - Fuel for roads	1,711,204	-
Purchase of computer software	-	-
Plant & Equipments	-	-
other Specialised vehicles	-	-
Refrigerator, TV, VCR, Cameras, Air Conditioners etc	-	-
TOTAL	25,516,831	-

19. Financial Assets

During the year under review the council did not incur costs for financial Assets

	2025 Kwacha	2024 Kwacha
Purchase of Long term investments	-	-
Collections from debtors	-	-
VAT refunds	-	-
financial asset - Salary Advances	-	-
Other financial asset-CDF loan Empowerment	-	-
TOTAL	-	-

20. Loan Repayments

The Local Authority did not make any loan repayment during the period under review.

NOTES TO THE FINANCIAL STATEMENTS

21. Other Payments

These relate to sundry items such Domestic Creditors for supply of goods and services and Staff Creditors as follows

	2025	2024
	Kwacha	Kwacha
Domestic Creditors		
Suppliers of goods & sevrices	-	-
Zra	-	-
Lasf	-	-
Napsa	1,056,548	-
Other Deductions from Employees(third Parties)	424,589	-
Staff Creditors	-	-
Terminal benefits	579,796	-
Long Service Bonus	154,000	-
Leave travel benefits	46,481	-
Others Salary arears	-	-
Total	2,261,414	-

22. Foreign Exchange Losses

During the year under review the council did not incur costs on foreign exchange losses.

23. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2025	2024
	Kwacha	Kwacha
Cash on hand		
Demand Deposits	11,326,449	-
Cash equivalents	-	-
TOTAL	11,326,449	-

a. Cash on hand

The Council did not have cash in hand and petty cash.

NOTES TO THE FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balance

The Council had the following reconciled bank account balances as at the 31st December 2023

Account Name	Account No	2025 Kwacha	2024 Kwacha
CDF Kabwe Central A/c	Indo - 006200000081	10,867	6,828,988
CDF Kabwe Central Loan Revolving A/c	Zanaco -05848394300142	1,392,190	1,044,395
CDF Kabwe Central A/c	ZICB - 1010118978560	917,764	5,829,708
CDF Bwacha A/c	Zanaco - 5992300500115	50,547	7,716,918
CDF Bwacha Loan Revolving A/c	Zanaco -5848044300135	917,049	583,033
CDF Bwacha A/c	ZICB - 1010143562135	335,877	2,988,604
Capital Project A/c	Access - 025210519003	58,886	67,876
Main Operations A/C	Access - 0256160208011	102,201	30,443
Market Operations A/c	Indo - 0062020000080	9,946	10,756
Fire Briigade A.c	Indo - 0062020000082	4,332	6,613
Ward Development Fund A/c	Indo -0062020000060	3,127	3,247
Land Development A/c	Indo-0062020000041	1,667	378,101
Mulungushi Motel A/c	Indo-0062020000042	5,405	100
Ecz .A.c	Indo-0062020000052	8,532	62,524
Transit A/c	Indo-0062020000062	70,862	1,061,258
Salaries A/c	Indo-0064030000010	1,958	30,048
Devolved Sector Grant A/C	Zanaco - 1654059500192	5,323,943	3,026,111
Market A/C	Zanaco -0367081300197	279,416	2,200,060
Capital Project A/c	Zanaco -0367081500564	1,768,616	13,029
Fire Training A/c	Zanaco-0140692300181	62,638	3,671
Hiv/Aids A/c	Zanaco-1041915300145	625	1,225
Rural Water A/c	Zanaco-533877300126	-	-
TOTAL		11,326,449	31,886,708

The Council has no overdraft facility with any bank.

c. Cash Equivalents

The Council held no treasury bills at year end.

NOTES TO THE FINANCIAL STATEMENTS

24. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on .

b. Budget Variances

- **Licences**

The council budgeted to collect K541, 000 from issuance of various licences but collected K347, 970 giving an adverse variance of K193, 080 representing 36%. The adverse performance was as a result of not collecting Liquor licences as these licences are valid for a period of 3 years once issued. Further this was attributed to the closure of businesses due to none availability of electricity.

- **Levies**

The council budgeted to collect K860, 450 from issuance of levies such as business levies for conduction business in the municipality but to collected K1, 209,808 giving a favorable variance of K349,358 representing 40%.

- **CDF**

Council budgeted to collect K36,058,151 but collected K12,410,256giving an adverse variance of K23,647,894 representing 66%. The amounts were both Kabwe Central and Bwacha constituency to be funded by Ministry of Finance in the year under review.

- **Other Grants**

The council budgeted to collect K14, 373,454 in other Grants. But collected K9,918,247 giving an adverse variance of K4,455,207 representing 31%

- **Social Benefits**

Council Budgeted to spend K17,422,970 on social benefits. However, Council spent K26, 867,880 giving an adverse variance of K9,444,911 representing 54% this attributed to payment of Cash for work, Grants and Skills bursaries in the first half of the year